

Railroad First 5s, due 1950, which sold in 1932 at 60 to yield 9.85% to maturity. They are an obligation of the Brooklyn-Manhattan Transit System. The traction, or electric railway, industry has long been unfavorably regarded, chiefly because of automobile competition but also on account of regulation and fare-contract difficulties. Hence this security represents a comparatively unattractive *type* of enterprise. Yet the *terms* of the investment here might well make it a satisfactory commitment, as shown by the following:

1. *Provisions of the Issue.* By contract between the operating company and the City of New York, this was a first charge on the earnings of the combined subway and elevated lines of the system, both company and city owned, representing an investment enormously greater than the size of this issue.

2. *Status of the Issue.* Apart from the very exceptional specific protection just described, the bonds were obligations of a company with stable and apparently fully adequate earning power.

3. *Price of Issue.* It could be purchased to yield somewhat more than the Brooklyn-Manhattan Transit Corporation 6s, due 1968, which occupied a subordinate position. (At the low price of 68 for the latter issue in 1932, its yield was 9% against 9.85% for the Brooklyn Union Elevated 5s.⁵)

Relative Importance of the Terms of the Commitment and the Character of the Enterprise. Our distinction between the character of the enterprise and the terms of the commitment suggests a question as to which element is the more important. Is it better to invest in an attractive enterprise on unattractive terms or in an unattractive enterprise on attractive terms? The popular view unhesitatingly prefers the former alternative, and in so doing it is instinctively, rather than logically, right. Over a long period, experience will undoubtedly show that less money has been lost by the great body of investors through paying too high a price for securities of the best regarded enterprises than by trying to secure a larger income or profit from commitments in enterprises of lower grade.

⁵ By 1936 the price of the Brooklyn Union Elevated 5s had advanced to 115½. After 1937 the earnings of the B.M.T. declined, and the price of this issue fell to 59. In the purchase of the system by New York City in 1940, however, the strong position of this issue was recognized, and its price recovered again to 92.